

Morning Briefing

Wednesday, 5 August 2026 · Generated ~06:30 London time (BST), ahead of European open · Data collected via web search during this session

2. Important News

Wall Street closes at fresh records. S&P 500 +1.79% to 7,737 (first record in two months), Dow +1.71% to 54,086 (+907pts, first close above 54,000), Nasdaq Composite +2.59% to 26,585. Source: CNBC, TheStreet — sets a strongly risk-on tone into the Asian and European sessions.

Strait of Hormuz talks reported advancing. Oman-mediated US-Iran talks said to be progressing toward a temporary 1-3 month reopening arrangement; Trump gave Iran a "last chance" on a nuclear deal; Treasury Secretary Bessent signalled a possible deal. Source: Al Jazeera, CNN, Bloomberg — driving oil sharply lower and is the single biggest swing factor for today's session.

Novo Nordisk Q2: oral Wegovy sales miss, guidance range widened. Sales DKK 78.49bn (+3% cc); oral Wegovy DKK 3.22bn vs DKK 3.27bn expected; FY26 guidance moved to -6% → flat cc (from -4% → -12%); US-listed shares fell ~6%. Source: CNBC, MarketBeat — reports just ahead of the European open and is a bellwether for pharma sentiment today.

AstraZeneca-Bristol Myers Squibb merger talks reported. AZN shares down roughly 7-8% since Monday on reports of talks between the two pharma majors (would be the largest-ever pharma deal); analysts skeptical on antitrust grounds. Source: CNBC, BioSpace — a continuing drag on the FTSE 100.

HSBC and BP earnings strength lift UK large caps. HSBC beat, announced \$1bn buyback and raised its cost-cut target to \$2bn; BP's Q2 underlying profit more than doubled to \$5.7bn and it raised the dividend 4%. Source: Bloomberg, Oil & Gas 360 — supportive for FTSE 100 banks and energy this morning.

3. European Futures (pre-open)

INSTRUMENT	LEVEL / MOVE	SOURCE	AS-OF
Euro Stoxx 50 futures	~-6,326-6,329, +0.20%	Investing.com, ScanX	pre-open 5 Aug
DAX futures	+0.4% to +1.2% (range across sources)	ScanX, MarketScreener	pre-open 5 Aug
CAC 40 futures	~+1%	ScanX / MarketScreener	pre-open 5 Aug
FTSE 100 futures	~-0.1% (AstraZeneca drag)	ScanX	pre-open 5 Aug
Stoxx Europe 600 (indication)	+0.3%	MarketScreener	pre-open 5 Aug
S&P 500 e-mini futures	+0.33%	Benzinga	early 5 Aug
Dow futures	+195pts / +0.36%	Benzinga	early 5 Aug
Nasdaq 100 e-mini futures	+0.13% (gains pared)	Benzinga, Bloomberg	early 5 Aug

US futures pared gains overnight after SpaceX flagged higher AI capex and AMD's outlook underwhelmed (both fell after-hours Tuesday). WTI fell further into the European pre-open on continued Strait of Hormuz optimism.

4. Yesterday's Closes (Tue 4 Aug, European session)

INDEX	CLOSE	% CHG	SOURCE
Euro Stoxx 50	~6,508	+1.26%	TradingEconomics (alt: 6,440/+1.2% Eurasia Business News)
DAX	~26,200	~+1.0%	Investing.com, MarketScreener
CAC 40	8,647 (record high, 4th straight winning session)	+0.40%	Investing.com, MarketScreener
FTSE 100	~10,883-10,900	+0.37% to +0.5%	TradingEconomics, Proactive Investors

FTSE 100 lagged the region: AstraZeneca slumped ~9% on the Bristol Myers merger-talk report, capping the index despite a strong mining complex.

5. US Markets — Yesterday's Session (Tue 4 Aug)

INDEX	CLOSE	% CHG	SOURCE
S&P 500	7,737 (record)	+1.79%	CNN, TheStreet
Dow Jones	54,086 (+907pts)	+1.71%	CNN, TheStreet
Nasdaq Composite	26,585	+2.59%	Yahoo Finance / TradingKey

Tone

Clearly risk-on; broad rally with record closes for S&P and Dow.

Leading sectors

Information Technology (~+4%) and Communication Services, led by Palantir (+29% on FY guidance raise), Micron (+~5%), ARM (+17%).

Lagging sector

Energy — fell with crude (WTI -3% to -4%) despite posting the strongest YoY earnings growth of any S&P sector (+135.3%), as Hormuz reopening hopes triggered anticipatory selling on the supply-shock premium.

Key takeaway

Two catalysts drove the session: (1) Bessent signalled a possible US-Iran deal to reopen the Strait of Hormuz, easing geopolitical risk and pressuring oil; (2) blistering Q2 earnings — 61% of S&P 500 has reported, 86% have beaten estimates, blended earnings growth of 47.4% (best since Q2 2021). Sentiment cooled slightly after-hours on SpaceX and AMD selloffs. Source: CNBC, Motley Fool, Benzinga

6. Asian Markets — Overnight Session

INDEX	LEVEL / MOVE	SOURCE
Nikkei 225	63,899 close +0.23%; opened 64,095 (+0.3%) 5 Aug — some sources cite a stronger +3.1% overnight move, treat with caution	Investing.com; Benzinga
Hang Seng	-0.4% to -0.6% (25,852 on 4 Aug per one source)	Benzinga, RTHK
Shanghai Composite	Little changed; 3,822 (+0.33%) Tue close	RTHK-adjacent source, Benzinga
Kospi	6,358 (+1.62%) Tue close; stronger follow-through reported into Wed morning	Benzinga

Cross-source variance on exact Asian index levels/moves this morning — directional pattern (broadly up ex-China/Hong Kong, energy names softer) is consistent across sources; treat precise percentages with caution and verify before use.

Tone: broadly risk-on, carrying through from Wall Street's tech-led record session. Drivers: (1) optimism on a Strait of Hormuz deal lowering the energy/inflation risk premium; (2) spillover from blowout US tech earnings (Palantir, Amazon) lifting regional chip names in Korea and Japan; (3) Hong Kong/China lagged, suggesting China-specific caution not shared elsewhere.

7. Commodities

COMMODITY	LEVEL	CHANGE	SOURCE
Brent crude	~\$78.5-79.0/bbl	Down, extending 2-day drop	Bloomberg, The National
WTI crude	\$75.40/bbl	-0.49% d/d (had fallen ~6% Monday)	Forbes Advisor, TradingEconomics
Gold (spot)	~\$4,095-4,100/oz	+0.4% d/d	Forbes Advisor, TradingEconomics
Natural gas (Henry Hub)	\$2.77/MMBtu	-0.31% d/d	OilPriceAPI
Natural gas (TTF, Europe)	~€43.5/MWh	Down from €48.8 a month earlier	ICE Futures Europe (aggregator, indicative)
Copper (COMEX)	~\$6.61-6.63/lb	+1.4% to +1.7%	TradingEconomics
Copper (LME 3-month)	~\$14,065/ton	+1.4%, two-month high	Business Recorder

Oil is the standout mover: falling on rising confidence that the Strait of Hormuz will reopen, reversing much of last week's supply-disruption spike. Copper hit a two-month high on falling exchange inventories, a tailwind for the mining complex into today's open.

8. Rates & FX

INSTRUMENT	LEVEL	CHANGE	SOURCE
US 10Y Treasury yield	~4.62% (some sources show up to ~4.69% post-FOMC; unresolved, verify before use)	Conflicting sources	Investing.com, CNBC
German 10Y Bund yield	3.11%	-4bp d/d	TradingEconomics
EUR/USD	~1.1540	n/a vs prior close (one source shows 1.1512)	XE, MTFX
GBP/USD	1.3324	+0.08% (prior close 1.3314)	XE, MTFX
DXY (Dollar Index)	99.97	+0.01% d/d, near 7-week low	TradingEconomics

US 10Y yield is the one figure with materially conflicting sources this morning (4.62% vs ~4.69% post-FOMC) — recommend a direct FRED/terminal check before relying on a single number.

9. DCM — Primary Bond Market

Yesterday's Issuances (Tue 4 Aug)

Extremely light session, consistent with the August lull. Only one confirmed active corporate print: **Eurogrid** (German grid operator) priced a €500m EU Green Bond-labelled deal described as a "blowout" with strong demand; exact coupon/spread/IPT-tightening terms could not be confirmed (n/a). Source: GlobalCapital

HY: n/a — no European HY EUR pricing identified for 4 Aug.

SSA: n/a specific to this week. EU Commission is targeting €80bn of H2 2026 supply across four syndications and six auctions (Jul-Dec).

Financials/FIG: No EUR FIG print for 4 Aug. GlobalCapital reports banks holding off euro issuance — UBS tapped the USD market instead, TD reportedly eyeing AUD — a diversification-away-from-EUR signal this week.

Pipeline / Expected This Week

No specific mandates or roadshows dated for 5-7 Aug were found. Market consensus points to a slow July/August with the bulk of H2 issuance resuming in September.

Key Spreads

METRIC	LEVEL	NOTE
iTraxx Main 5Y	n/a	No dated print found
iTraxx Crossover 5Y	~315-320bp	Stale (mid-May 2026) — no Aug print located, verify before use
CDX.NA.IG	n/a	No dated print found
Euro corporate IG (avg)	~3.2% yield	Spreads near 20th percentile (tight), undated 2026 context
Euro Area 10Y govt yield	3.53%	-5bp d/d (3 Aug)
Bund-BTP 10Y spread	~72bp	Down from ~116bp at start of 2026
EUR senior fixed-rate NIP (avg)	2.4bp	Down from 4bp in 2023, but ticking up since July as books thin

No same-day (4/5 Aug) iTraxx Main, iTraxx Crossover or CDX IG closing level could be sourced via web search — these live behind terminal/paywalled feeds. Flagged as a data gap rather than estimated.

Commentary

The window is effectively **shut for corporates** — GlobalCapital explicitly frames 4 Aug as a "summer lull," with only Eurogrid breaking through. Where deals do print, demand remains strong and new-issue premiums have compressed structurally through 2026, though SSA commentary flags NIPs starting to climb again since July as order books thin. Bloomberg reports fund managers (UBS Asset Management, Barings, Aviva Investors) rotating into European bonds as a "safer choice" amid harder-to-price global risks. Sector skew: utilities/infrastructure (Eurogrid) is still able to clear in August; industrials and financials are largely sidelined, with FIG issuers diversifying into USD and AUD instead. Separately, leveraged finance had a record Q2 2026 (busiest LevLoan quarter since early 2025, record CLO issuance), suggesting investors are chasing quality while shunning riskier credits even as base rates stay elevated.

10. Economic Calendar — Today (5 Aug 2026)

LONDON TIME	INDICATOR	CONSENSUS	IMPORTANCE
08:00	Eurozone Final Services & Composite PMI (Jul)	Flash Composite 51.9 (5-month high)	High
09:30	UK Final Services & Composite PMI (Jul)	Flash Composite 52.1 (vs 49.3 Jun)	High
13:15	US ADP Employment Change (Jul)	n/a	Medium
15:00	US ISM Services PMI (Jul)	n/a (Jun was 54.0)	High
15:00	US S&P Global Final Services/Composite PMI (Jul)	n/a	Medium
15:30	EIA Weekly Petroleum Status Report	Prior week: crude -1.3m bbls, gasoline +4.8m bbls	High
19:05	Fed Governor Lisa Cook speaks, Anchorage AK	n/a	Medium

Note: the Bank of England's rate decision falls Thursday 6 August, not today.

11. Corporate Events & Earnings — Today

Europe

Novo Nordisk — Q2 2026 results, ~05:30 GMT. Sales DKK 78.49bn (+3% cc); oral Wegovy DKK 3.22bn (slight miss vs DKK 3.27bn est.); raised FY26 guidance to -6% → flat cc. US shares fell ~6% on the print. High

Zurich Insurance H1 2026 — expected in the August window; exact date unconfirmed (n/a).

United States — before the open

Eli Lilly (LLY) — Q2 2026. Consensus EPS estimates vary widely (\$6.06-\$7.74, clustering ~\$6.55-\$6.71) on uncertainty over an acquired-R&D charge; revenue consensus ~\$20.69bn. High

Walt Disney (DIS) — Q3 FY26. Consensus EPS \$1.86 (vs \$1.61 y/y), revenue \$25.44bn (vs \$23.65bn y/y) — strongest top-line growth in 3+ years. High

Uber (UBER) — Q2 2026. Consensus EPS \$0.83, revenue \$14.24bn (vs \$0.63 / \$12.65bn y/y). High

Shopify (SHOP) — Q2 2026. Consensus revenue \$3.43bn, EPS \$0.39. High

Occidental Petroleum (OXY) — Q2 2026, focus on production and FCF. Medium

United States — after the close

DoorDash (DASH) — Q2 2026. EPS forecast ~\$0.47. Medium

12. Stocks to Watch

COMPANY	REASON	DIRECTION
Novo Nordisk	Q2: oral Wegovy sales miss, guidance range widened	Down
AstraZeneca	Bristol Myers Squibb merger-talk reports, down ~7-8% since Monday	Down
HSBC	H1 beat, \$1bn buyback, raised cost-cut target to \$2bn	Up
BP	Q2 underlying profit more than doubled to \$5.7bn, dividend +4%	Up
Palantir	Q2 revenue \$1.94bn beat, raised FY guidance, +29% Tuesday	Up (momentum)
AMD	Beat on EPS/revenue but stock fell >8% — "sell the news" on high bar	Down
Mining complex (Antofagasta, Anglo American, Rio Tinto, Glencore)	Led FTSE +2-3.5% Tuesday on copper strength; copper at 2-month high	Up
Airlines (IAG, Wizz Air, easyJet, Ryanair)	Highly sensitive to Hormuz/oil headlines; jet fuel has fallen sharply	Volatile, up bias if oil stays soft
Aircraft lessors (AerCap, Avolon, SMBC Aviation Capital)	SMBC signed 200-aircraft order (100 737MAX/100 A320); lease-rate tailwind	Up (structural)
Container shipping (Maersk, Hapag-Lloyd, COSCO)	Drewry WCI -3% to \$4,255/40ft; carriers pushing mid-Aug FAK rate hikes — test of pricing power	Mixed, watch
Eli Lilly / Disney / Uber / Shopify	All report before the US open today	Volatile, watch

13. Macro / Corporate / Political Highlights

Macro

Fed held rates at 3.50-3.75% on 29 July (9-3 vote); Chair Warsh signalled no immediate cuts, with only one 2026 cut currently priced and some forecasters flagging hike risk on energy-driven inflation.

Bank of England held Bank Rate at 3.75% on 30 July (5th straight hold), a hawkish 6-3 vote as Pill, Greene and Mann pushed for a hike to 4%; UK CPI had eased to 2.6% in June but Mideast energy risk clouds the outlook. Next decision Thursday 6 August.

Gold trading \$4,100-\$4,130/oz, well off January's \$5,589 record; miners have seen a 27% correction from highs as margins compress.

Corporate

BP Q2: profit more than doubled YoY (\$5.7bn underlying); Brent averaged \$103.85/bbl in Q2 vs \$67.88 a year earlier on Mideast supply disruption; refining margins \$29.60/bbl.

AstraZeneca-Bristol Myers Squibb merger talks reported (potential combined value \$400bn+, would be the largest-ever pharma deal); analysts broadly skeptical given antitrust hurdles.

Dense US earnings day Tuesday: Palantir, AMD, SpaceX, BP, Caterpillar, McDonald's, Pfizer and Spotify all reported.

No major new M&A announced overnight; most recent large deals dated late July (Iberdrola/Caruna €2.3bn, Var Energi/BlueNord \$1.3bn, OCS/Mitie \$4.17bn, Tempus AI/Personalis \$1.5bn).

Political / Geopolitical

Strait of Hormuz remains effectively disrupted since fighting resumed; Oman-mediated talks reportedly progressing toward a temporary 1-3 month arrangement; Trump gave Iran a "last chance" on a nuclear deal. Oil fell on the resulting optimism.

Trump tariffs: 50% tariff on Canada (Section 338) takes effect 19 August on agriculture, dairy, furniture and alcohol (~\$16bn of trade); a broad Section 301 forced-labor tariff was finalized 23 July covering 80+ trading partners. Note the Supreme Court struck down IEEPA-based tariffs in February 2026, narrowing the administration's tariff toolkit.

14. Key Themes — Top 5 by Horizon

Today's Top 5

1. Strait of Hormuz negotiations — confirmation or denial of a deal could whipsaw oil and energy-sensitive equities intraday.
2. Novo Nordisk Q2 read-through — oral Wegovy miss could pressure broader European pharma sentiment at the open.
3. US ISM Services PMI (Jul, 15:00) — a miss after June's 54.0 would revive growth worries.
4. Eli Lilly, Disney, Uber, Shopify report before the US open — reads on GLP-1 demand, streaming/consumer, gig economy and e-commerce.
5. Eurozone/UK final services PMIs — confirm whether July's rebound (flash 51.9/52.1) holds, shaping the ECB/BoE rate-path debate.

This Week's Top 5

1. Bank of England rate decision (Thursday) — a 5th straight hold is expected, but the 6-3 hawkish split keeps a hike debate alive.
2. Strait of Hormuz outcome — a confirmed reopening, or its failure, is the single biggest swing factor for oil, rates and risk sentiment this week.
3. US Q2 earnings season peak — blended growth already running at 47.4%, the best since Q2 2021.
4. EIA weekly petroleum inventories and any OPEC+ commentary — test whether the oil selloff has further to run.
5. European DCM reopening watch — primary market essentially shut for the summer lull; any sizeable corporate/FIG mandate this week would signal an early return.

This Month's Top 5

1. FOMC minutes (19 Aug) — markets will parse how close the committee is to a September move under Chair Warsh.
2. Jackson Hole Economic Symposium (late August) — central bank guidance for the rest of 2026.
3. US tariff implementation — 50% Canada tariff (Section 338) takes effect 19 August; watch for retaliation and inflation pass-through.
4. September DCM reopening — EU Commission targeting €80bn of H2 SSA supply; corporate/FIG issuance expected to resume after the August lull.
5. Iran/Strait of Hormuz resolution timeline — a reported 1-3 month interim arrangement would need follow-through diplomacy through August.

15. Key Trends to Watch

1 Day

Confirmation or denial of Hormuz-deal progress; US ISM Services PMI; Eli Lilly/Disney/Uber/Shopify earnings; European pharma sentiment following Novo Nordisk's miss.

1 Week

Bank of England decision Thursday; peak US Q2 earnings; oil-price direction as Hormuz talks evolve; whether the European DCM primary market reopens from its summer lull.

1 Month

FOMC minutes (19 Aug) and September rate-cut odds; Jackson Hole symposium; Canada tariff implementation (19 Aug); pace of the September DCM issuance resumption; durability of the AI-capex-driven equity rally, with capex concerns already surfacing at SpaceX and AMD.

Sources: Reuters, Bloomberg, CNBC, CNN, Financial Times, Al Jazeera, TradingEconomics, Investing.com, GlobalCapital, IFR, Forbes Advisor, XE, MTFX, Benzinga, TheStreet, Yahoo Finance, MarketScreener, ScanX, S&P Global PMI, ISM, EIA, Federal Reserve, Bank of England, Motley Fool, Axios, TIKR, Alphastreet, Finimize, Business Recorder, Oil & Gas 360, Delano, e-fundresearch, European Commission.

Data collected automatically. Verify before making any decision.